

May/June/2022/variant 13

1B)

A) Since deflation represents a sustained and persistent fall in the general price level of an economy, this means that it increases the purchasing power of money, as \$1 can be used to purchase more than before. This is why, this becomes incorrect

B) Financial assets for example: cash in hand or cash in bank are more liquid since they are easily convertible to cash, as compared to physical assets such as property, this is why this becomes correct

C) When money acts as a medium of exchange, this overcomes the problem of double coincidence of wants.

D) When money acts as a store of value, this does not mean that it must be unlimited in supply, instead it should be able to retain value or purchasing power that can be used in future.

2-D)

Proportion of income paid in tax will be calculated by :

Direct tax paid/average income * 100

_Bottom 20% of households pay **13.07%** of their incomes in tax.

_Second 20% of households pay **14%** of their income in tax

_Middle 20% of households pay **17.34%** of their income in tax

_Fourth 20% of households pay **19.96%** of their incomes in tax

_Top 20% of households pay **23.39%** of their income in tax

This represents that richer households pay more on direct tax than poorer households, thus making key D correct

Option A) The word “unfair” represents a normative statement

Option B) The direct tax is not a proportional tax; **instead, it is a progressive tax, as the average rate of tax rises upon a rise in income.**

Option C) The word “enough” represents a subjective analysis, again representing a “normative statement”

3B-

Opportunity cost is the real cost of choosing an option and not the another, that is, the value of next best alternative foregone.

This measures the benefits given up by not consuming the next best alternative.

This is why B is correct

4-B :

It is human capital that defines the existence of qualities, skills and knowledge that allows an individual to be more productive.

This is why B is the answer and no other option can be correct

5-A:

The diagrams below explain why A will be the answer.

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6-C:

A- cost per unit being low in case of a new drug and cost per unit being high, in case of printed newspapers does not represent that the new drugs will be price inelastic in supply and the printed newspapers will be price elastic in supply.

B- The fact that the printed newspapers take longer to produce represents that **the supply of printed newspapers would be price inelastic, rather than elastic** , making this incorrect.

C- In a case whereby research and development is essential as with new drug, this implies that the PES will be inelastic. Similarly, excess capacity in printing newspapers represents the ease which firms can print newspapers, making the PES more elastic, therefore making this correct.

D-Availability and unavailability of similar products represents the factors that influence PED rather than PES.

7-A:

A- A fall in the price of sugar, that is, the key component in sugar-sweetened drinks, will reduce the costs of production of firms, leading to the supply to increase, therefore making this option correct.

B- Removal of subsidies will increase the costs of production of producers, causing the supply to decrease.

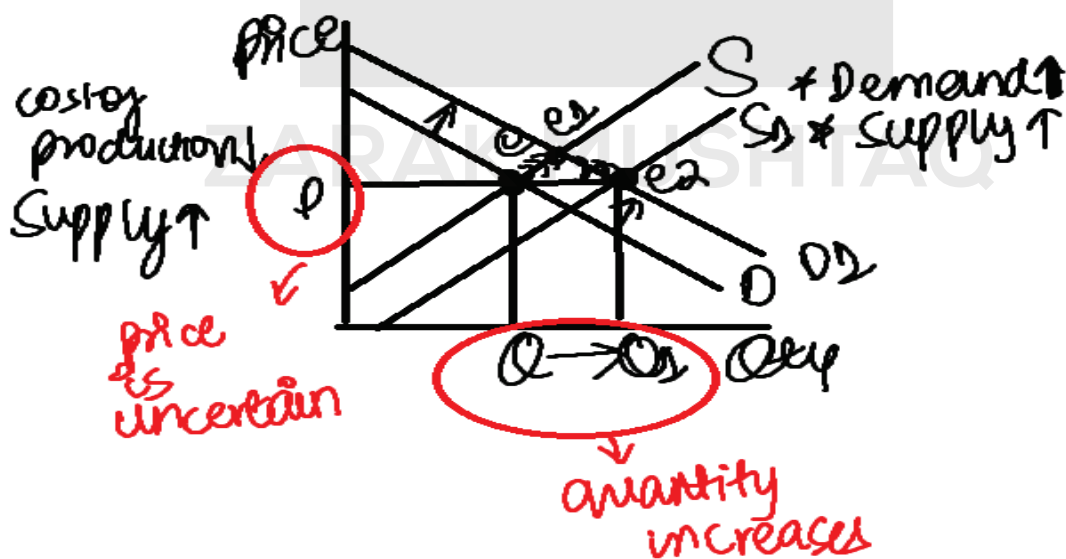
C- An increase in consumers' income will increase purchasing power, subsequently causing an increase in demand.

D- Likewise, an increase in specific tax on sugar will increase the costs of production of producers, causing a decrease in supply.

8-C:

A fall in cost of production would lead to a rise in supply.

When simultaneously, there is a rise in supply, and a rise in demand, the net impact will be that prices will remain uncertain and quantity traded will increase, as can be seen below.



9-B

Best allocation of resources represents "allocative efficiency" that is allocating resources from the society's point of view, in other words, a situation whereby market failure is corrected.

A and D: Producers being able to maximize their collective interest and price elasticity of supply of firms being greater than one, which indicates a higher degree of responsiveness, does not represent "allocative efficiency being achieved"

C: If the government must be able to apply maximum and minimum prices, this will distort the market and prevent price mechanism from being operational, making this Incorrect.

B; When consumers and producers have "**perfect knowledge**", this represents the elimination of imperfections and in turn information failures, reducing the likelihood of market failures arising as a result of under consumption of merit goods and over consumption of demerit goods, for example. This is why, this becomes correct.

10-B

An increase in demand for good X will result in a rise in price of good X and a subsequent extension in quantity supplied of good X, this means that, this **will increase the supply for good Y**, that is a jointly supplied commodity **as jointly supplied goods are those goods, that are produced together but for different purposes**. When supply for good Y increases, there will be a **surplus, resulting in a fall in price of good Y** and since **equilibrium qty traded increases, this represents a rise in sales**.

Moreover, a rise in demand for good X that is, for example: car also represents a rise in demand for jointly demanded commodity that is good Z (petrol, for example). **This suggests a rise in price of good Z** and an **increase in sales of good Z**, since equilibrium qty (quantity supplied) increases. **This represents that option B is correct**

11-A

A- Consumer surplus is the difference between the maximum price consumers are willing to pay and the price that they end up paying that is the market price, which means that this will be correct.

B- The difference between the price consumers are willing to pay and the price at which producers are willing to supply does not represent consumer surplus

C- This is the definition for bulk buying discounts and not consumer surplus, this is why this becomes incorrect

D- The excess of qty demanded of a product over qty supplied at a given price represents shortage, and not consumer surplus.

12-C

A: only one variable can be changed in case of a situation of ceteris paribus, so that the effect of changes in one variable can be seen in isolation, thus making this Incorrect

B: consumer preferences are not always assumed to remain unchanged. **Any one factor can be varied, and the rest of them stay constant.**

C-Option C is correct because such a situation of ceteris paribus implies that only one variable is assumed to change ,while the others remain the same, thus making them correct.

D- Several variables cannot change simultaneously, only one of them can, this is why this becomes incorrect.

13-D



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14-A:

A: This is correct because it shows the area which is **per unit subsidy(that is the vertical distance between the two supply curves) multiplied by new equilibrium quantity** ; therefore , representing the cost to the government of a subsidy to rice growers.

B- This does not represent the extra savings to importers after a removal of tariff .

The extra savings to importers can be seen in the diagram of trade creation.(**the savings will be in form of the tax revenue that will now not have to be paid shown through the region "Z"**) as can be seen in the diagram below.

C- After the introduction of maximum price, firstly, the supply does not increase as can be seen in the diagram in the question, and secondly, the area "JKLM" does not show an increase in consumer surplus. (**consumer surplus is the area above the market price and the area below the demand curve**)

D:This does not represent a loss in government revenue from taxation after a tax on rice is reduced , and the government revenue from tax can be seen in the figure below.

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15-B

Transfer payments are payments made without goods or services being received in exchange for example, unemployment benefits and pensions.

Welfare benefits decreased by **150** from 600 to 450

Similarly, state pensions increased by **250** from 1100 to 1350 .

Overall, the expenditure on transfer payments increased by **100**(-150+250).

This is why B will be the answer.

16-A

A:Corporation tax is a tax on company's profits. It is a direct tax because direct taxes are taxes on incomes and wealth, making this correct

B: import duties are indirect taxes since indirect taxes are taxes on goods and services.

C; Specific tax on purchase of cigarettes for example, sin taxes are indirect taxes too, since they are taxes on goods and services

D: A stamp duty is a government indirect tax which is levied on all legal property transactions. it is therefore, a tax which is an evidence of any purchase or sale of property between two or more parties making this incorrect.

17-A

A-Because of imposition of maximum prices, the quantity demanded extends at a lower than equilibrium price, relative to which, the quantity supplied decreases as producers will be signaled and dis-incentivized to contract their quantity supplied, which will result in a shortage. This means that those who are unable to acquire on a first come, first served basis will be unable to buy face masks at the maximum price, therefore making this correct.

B- Firms will only increase their supply and produce more masks if government intervenes in a situation of shortages by, for example, providing subsidies; therefore, making this incorrect.

C- Not all poor consumers will be able to obtain masks at the maximum price. Those who are unable to acquire on a first come, first served basis will be unable to buy face masks at the maximum price,

D- The market does not clear at the maximum price. The market only clears at equilibrium price.

18-D:

A, B and C are examples of producer subsidies as they represent financial assistance to producers.

- ➔ Subsidy is a financial incentive(in case of option C, a financial assistance is given to a pharmaceutical industry), a cash or a grant payment(in case of option A, a grant is provided to the rail industry) given to the producers to reduce their costs of production, encouraging them to increase their supply.(in case of option B a minimum price is guaranteed to ensure a **“long-run supply of food”**)

D) D involves making transfer payments to unemployed , enabling them to buy essential goods and services, thus making it the answer.

19- C:

The vertical axis represents "price level" whereas the horizontal axis represents "Real GDP". This is why, C will be the answer.

20-C:

A- Imposition of tariffs on imported goods will increase the prices of imported goods, as a result of which, **terms of trade** will worsen.

B and D- Terms of trade does not impact because of changes in the volumes of exports and imports.

C- An increase in export prices relative to import prices will lead to the numerator to rise, as a result of which, there will be an improvement in terms of trade.

21-D:

A-Aggregate demand does not only include consumption expenditure on consumer goods, but also involves investment expenditure, government spending and net exports.

B- This is the definition of market demand and not Aggregate demand.

C- Again, Aggregate demand is not only concerned with the total amounts of goods and services firms are willing to buy, it involves spending done by consumers , and government too , inclusive of net exports.

D: **It is correct to say that Aggregate demand is a curve that shows the total demand of all goods and services produced at all price levels in an economy(Aggregate expenditure – It is the sum of all the expenditures undertaken in the economy by the factors during a specific time period.)**

22-B:

Balance of trade is the sum of balance of goods and balance of services. In this case, the Balance of Trade will be $(134000+8000)$ i.e. 142000. **This is why, option B becomes correct.**

23-C

A rise in households' incomes has occurred by 3% **representing a rise in nominal incomes by 3%**

Similarly, since **inflation has also increased by 3%**, this represents that the real income, that is nominal income as it is adjusted with inflation remains unchanged. $(3\%-3\%=0)$

Real income% = Nominal income%-Inflation%

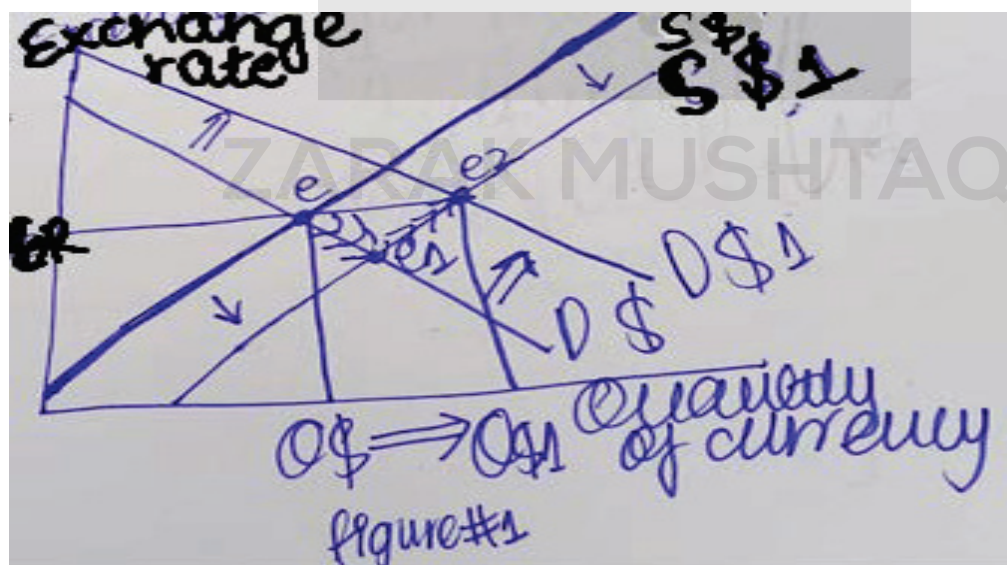
This means that only C will be correct.

24-B

In case of a fall in international confidence in government's economic policies, the foreign direct investment inflows will be discouraged and also domestic residents would take their money outside of the country, **which would increase the supply of the currency from S\$ to S\$1**, and this would have resulted in depreciation of the exchange rate.

But, in a fixed exchange rate regime, the govt will intervene by **increasing the demand artificially by selling its reserves, to counter the effect of depreciation, in order to maintain the exchange rate.**

Therefore, this may lead to a fall in the country's foreign exchange reserves as can be seen in figure 1



25-C

A- Firms selling goods abroad with elastic demand may lose as exported goods become uncompetitive, internationally, making them economic losers. Similarly, households paying back loans at a fixed interest rate, would be economic winners since they have to return less in terms of purchasing power of money, now.

B- If firms are unable to decrease real wages of workers, they'll be economic losers. And, firms paying back loans on fixed monthly repayments will be economic winners.

C- Individuals with a high amount of debt at a fixed rate of interest will be economic winners since they will have to return less in terms of purchasing power of money, now. Households that hold most of their assets in cash will lose as the purchasing power of money will erode, due to inflationary pressures.

D- Workers on fixed wage contracts are economic losers since they will face a fall in their real incomes and those retired on fixed incomes will also be economic losers.

26-B

When a country devalues its currency, its exports become cheaper and more attractive to foreign buyers. As a result, the quantity of exports demanded increases by a relatively higher percentage when the demand is elastic, leading to a rise in export revenues. At the same time, the price of imports becomes relatively more expensive, leading to a decrease in the quantity of imports demanded by a relatively higher percentage, since the demand is elastic, leading to a fall in import expenditures. **This leads to a Balance of Trade surplus, which represents net-injections in to the circular flow, and contributes to an increase in aggregate demand.**

Balance of trade surplus will occur because of devaluation since the Marshall Lerner condition is fulfilled, that is, the sum of combined elasticities of demand of imports and exports is greater than 1.

Therefore, a new equilibrium point is achieved from 'E' to 'B'.

This is why B is the the answer.

27-D:

A: if Japan had a comparative advantage, that is, a lower opportunity cost in electrical production, this may not lead to a fall in Japan's rank from being the world's largest exporter.

B: Similarly, if Japan had experienced the highest deflation, this would have also led to exported goods being competitive.

C- If Japan had imposed tariffs on the imports of electrical components from its Asian Competitors, this would have resulted in a fall in import expenditures, and not contributing much to Japan losing its position as the world's largest exporter

D- If the Japanese yen had appreciated, this would have resulted in exported goods appearing relatively expensive, and leading to a fall in export revenues due to global un-competitiveness, especially when the demand for these goods is elastic. This is why, D will be the answer.

28-C

A- A reduction in interest rates would serve as an expansionary monetary policy rather than "expenditure reducing policies", that include contractionary policies.

B-Revaluation leads to a fall in prices of imported goods, which is more likely to result in an increase in imports, and in turn import expenditure in the long run, which will actually worsen the current account balance, instead of improving it.

C- An increase in direct tax represents a contractionary fiscal policy. When the government increases direct tax, this will reduce the disposable income of individuals, and when purchasing power and consumer confidence is reduced, this leads to a fall in consumption expenditure even on imported goods, leading to the current account balance to improve. This is why, key C, becomes correct.

D-Introduction of foreign controls represent protectionist measures that are a part of expenditure switching policies.

29-B

Movement from X to Y will require a rightward shift in Aggregate demand curve and indeed a rightward shift in the Aggregate supply curve.

A-An increase in exchange rate that makes locally produced goods more price uncompetitive in the international market, will lead to a leftward shift in Aggregate demand, this is because export revenues will reduce in the long run, when the quantity demanded is elastic for them, because of which quantity demanded of exported goods contracts by a relatively higher percentage. (since net exports reduce, and Balance of Trade is a component of Aggregate demand)

B-An increase in government spending on infrastructure will increase government spending, that is, a component of Aggregate demand, therefore leading to a rightward shift in the Aggregate demand curve. Similarly, infrastructural development will lead to reduction in transport times and costs, and will subsequently lead to a rightward shift in the Aggregate supply curve. This is why, this becomes correct.

C- An increase in interest rates, that increase the costs of borrowing ,will reduce the marginal propensity to invest and therefore reduce investment expenditure, which will reduce Aggregate demand.

D- An increase in real wages of labor will even though increase the consumption expenditure due to a rise in purchasing powers , which can lead to a rightward shift in the Aggregate demand curve, but can also lead to a rise in costs of production if there is a mismatch between wage rises and productivity, leading to a fall in Aggregate Supply, shifting the Aggregate supply curve to the left.

30- C

Deflation is a persistent and sustained fall in general price level of an economy over a given period of time.

One major cause of it is a fall in Aggregate demand .

A, B: Increasing income taxes and interest rates are a part of contractionary policies, which will reduce consumption expenditure and in turn Aggregate demand, leading to a worsening effect on deflation.

C: increasing transfer payments in time of severe deflation will improve redistribution of income, and it will lead to arise in consumption expenditure, which will stimulate the economy in time of deflation , making this correct

D:Although, in the short run, revaluation will lead to more revenues brought in from exports, in the long run, when the sum of price elasticity of demand for imports and exports is elastic, that is, it is greater than 1,it will lead to a worsening effect on the Balance of Trade position, and these net leakages from the circular flow will lead to a reduction in AD, further worsening the situation of deflation.

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